point is that even with only $300,000 of family money, you could support a small family in a small community in a small way.

Most people would find that not worth doing. But what's wrong with having $300,000 on hand? In fact, it could be very useful to a family. With that kind of money you could finance an education—even medical school. You could support a family member who was out of work. You could build a house. You could start a business.

Remember, family money is different. If you spend it, it's not family money anymore. You don't have it anymore. It's gone.

Typically, families establish rules for how they will handle family money that are different from how they will handle personal money. And typically, they will spend only the interest on the money, not the principal. That way, the family money will last.

Looked at that way, a $300,000 capital fund becomes less useful, but still extremely helpful. It is enough to finance a house. The family could simply take the mortgage, rather than leave the money in T-bonds, and make sure the mortgage gets paid.

The family might also advance the money to a student as a loan. The student would repay it as he took up his career. Then, too, imagine that a family member is incapacitated or merely falls on hard times. The family money could be lent out to help him get over the hump, or the interest on the money could be given to him until he gets back on his feet.

The same thing applies to starting a business. The family could fund the business start-up, either as a loan or as a capital participation. Either way, it's much better to have a fund of family money available than to not have it.

Remember, too, that if your money is properly protected and managed, it grows. Three hundred thousand is not a lot of money. But if you added the $12,000 every year instead of spending it, eventually, it adds up.

Even a very modest "fortune" can be very useful if it is properly managed.

Let's say you have $1 million. Is that enough? Well, it depends.

If you could realize a net 3 percent real return (above and beyond inflation and taxes), that would be $30,000 per year. This is hardly a grand